

System:	CandidateRank AI
Operator:	Acme HR GmbH (DEMO)
Model:	gpt-4o-mini
Purpose:	automated candidate screening and ranking
Regulation:	EU AI Act (2024/1689) · GDPR Art. 35
Evidence period:	Last 30 days (live monitoring)

1. System Description (Annex IV §1)

CandidateRank AI, operated by Acme HR GmbH (DEMO), is an automated system designed for candidate screening and ranking. It utilizes the gpt-4o-mini model to analyze applicant data and generate rankings based on predefined criteria. The system aims to streamline the recruitment process by providing insights into candidate suitability for specific roles.

2. Necessity & Proportionality (GDPR Art. 35(7)(b))

The use of AI for automated candidate screening and ranking can be deemed necessary when it enhances the efficiency and accuracy of the recruitment process. However, it is essential to ensure that only relevant data is collected and processed, adhering to the principle of data minimisation. This approach helps to balance the benefits of AI technology with the need to protect candidates' personal information and uphold their privacy rights.

3. Data Governance & Privacy by Design (Art. 10, GDPR Art. 25)

Monitoring is privacy-preserving by architecture: the Verispect layer receives only SHA-256 prompt hashes and 384-dimensional embedding vectors. Raw prompts, raw responses, and end-user personal data are never transmitted to or stored by the monitoring provider. Golden probes derived from production traffic are stored encrypted on the operator's own infrastructure.

4. Risk Assessment — Bias & Drift (Art. 10 & 15)

Over the assessment period, **500** production calls were monitored and **80** synthetic fairness/consistency probes fired. **5** drift events were detected. Average drift score: **0.0713** (0 = stable, 1 = fully drifted). Overall consistency score: **93.8%**.

Protected characteristic	Probes	Drift events	Avg drift	Status
Consistency	24	3	0.0886	WARN
Gender	8	1	0.0712	WARN
Race / Ethnicity	8	1	0.0941	WARN
Age	8	0	0.0529	PASS
Disability	8	0	0.0585	PASS
Nationality	8	0	0.0472	PASS
Parental status	8	0	0.0651	PASS
Socioeconomic	8	0	0.058	PASS

5. Risk Mitigation Measures (Art. 9)

Identified risks are mitigated through continuous behavioural monitoring (Verispect), automated drift/bias alerting, documented human-oversight workflows, and re-baselining after any deliberate model or prompt change. Each flagged event is logged with a timestamp and severity for human review.

6. Post-Market Monitoring & Review (Art. 72)

The system is subject to continuous post-market monitoring via Verispect's autonomous probe suite, which fires fairness and consistency probes on a sample of live traffic and tracks behavioural drift over time. A monitoring report is generated monthly and retained as technical documentation (Art. 11).

7. Annex IV Technical Documentation — Coverage

Annex IV item	Status / source
§1 General description	Provided (§1 above)
§2 Development process & design	Operator to attach build docs
§3 Monitoring/functioning metrics	Verispect live monitoring (§4, §6)
§4 Risk management (Art. 9)	Verispect alerts + §5
§5 Changes log	Re-baseline + change log (operator)
§6 Standards applied	EU AI Act 2024/1689; GDPR 2016/679
§7 EU declaration of conformity	Operator (post conformity assessment)
§8 Post-market monitoring plan	Verispect (Art. 72) — §6

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